



**Transforming Healthcare
through Innovation and Sustainability**

Granules India Limited

Investor Presentation

August 2023



Safe harbour

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Company overview

About Us



Granules India is a vertically integrated, high-growth pharmaceutical company with 38 years of proven performance and increasing presence across the world. Headquartered in Hyderabad, India, Granules offers collaborative and strategic partnership to global pharmaceutical leaders by producing best quality API, PFI and FD through manufacturing excellence, process innovation and regulatory expertise

Business Verticals

Vertically integrated across value chain



Global Reach

- 80+ countries
- 300+ customers
- 60+ ANDA filings

Top 5 products

- Paracetamol
- Metformin
- Ibuprofen
- Guaifenesin
- Methocarbamol

Establishment in 1984

R&D

- Inaugurated a new 20,000 sqft state of the art R&D facility at Genome Valley with more than 170 scientists across both divisions

Manufacturing Base

- 8 facilities; 6 in India, 2 in US (1 is packing unit)
- One of the world's largest paracetamol API facilities
- World's largest PFI facility
- One of the largest single-site FD facilities

Installed Capacity

- 39,360 TPA of API
- 24,640 TPA of PFI
- 28.3 Bn dosages of FD

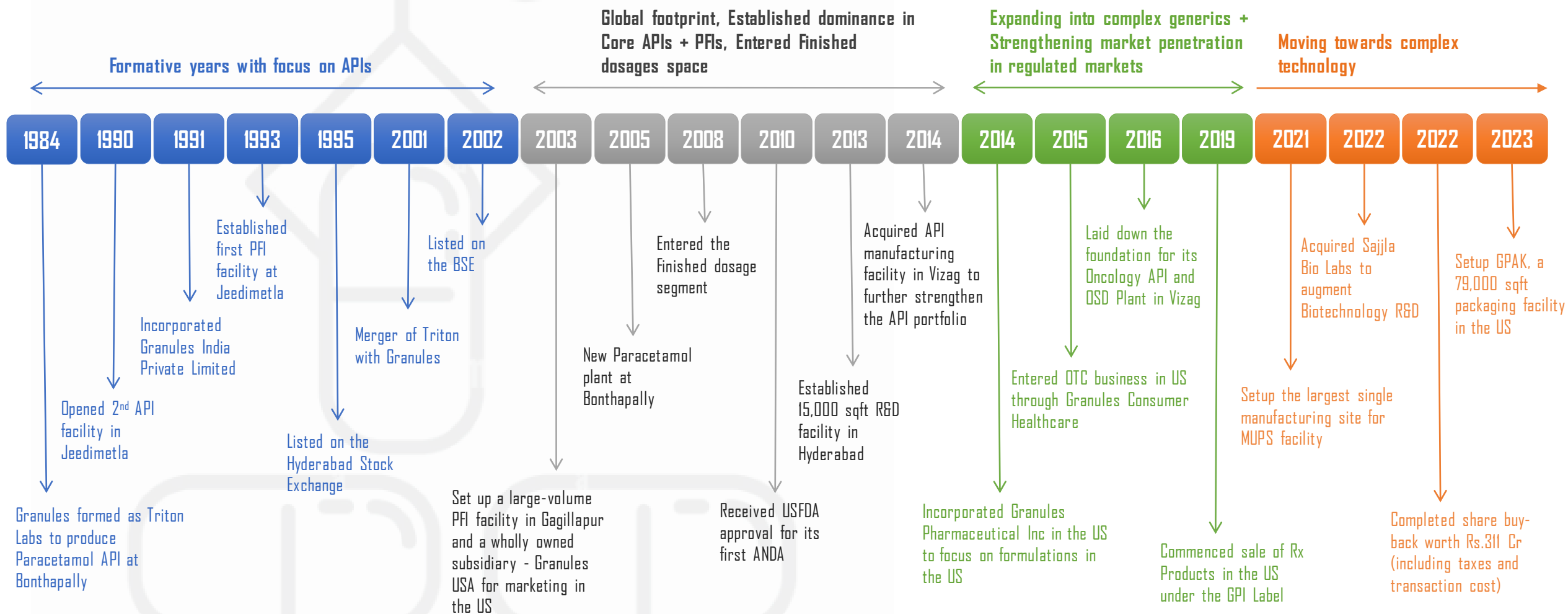
Regulatory Approvals

- USFDA, EDQM, EU GMP, COFEPRIS, WHO GMP, TGA, KFDA, DEA, MCC, HALAL

People Strength

- 5,000+ people
- 90+ people at GPI, Chantilly, USA

Our journey so far..



Our manufacturing footprint

	Manufacturing Units	Capacity	Regulatory Approvals
 API	▶ Bonthapally, Telangana ▶ Jeedimetla, Telangana ▶ Vizag (Unit IV), Andhra Pradesh ▶ Vizag (Unit V), Andhra Pradesh ▶ Bonthapally II (API Intermediate, Telangana)	▶ 34,560 TPA ▶ 4,800 TPA ▶ 380 KL ▶ 15 KL ▶ 61.5 KL	▶ U.S. FDA, EDQM, WHO, COFEPRIS, INFARMED ▶ U.S. FDA, EDQM, COFEPRIS, WHO, CDCSO ▶ U.S. FDA, KFDA, EU GMP, WHO GMP, EDQM ▶ EU GMP
 PFI	▶ Gagillapur, Hyderabad ▶ Jeedimetla, Telangana	▶ 23,200 TPA ▶ 1,440 TPA	▶ US FDA, COFEPRIS, TGA, MCC, INFARMED ▶ WHO GMP, COFEPRIS, INFARMED
 FD	▶ Gagillapur, Hyderabad ▶ Virginia, USA ▶ Vizag (Unit V), Andhra Pradesh	▶ 26.8 Bn ▶ 1.5 Bn ▶ 1.1 Bn	▶ US FDA, MCC, COFEPRIS, TGA, INFARMED ▶ US FDA, DEA ▶ EU GMP
 Packaging	▶ Virginia, USA	▶ 2 OTC lines and 1 Rx line	▶ US FDA

R&D Capabilities

Strengthened headcount to ~300 across spectrum of R&D centers with complementary capabilities



Integrated Product Development

Genome Valley – MN Park

R&D facility for Integrated Product Development

- ~170 scientists across API & FD R&D
- Fast tracking product development through seamless coordination & shared analytical resource

Controlled Substances

Pragathi Nagar R&D

- CoE for CII API Development
- Select KSMs

GPI R&D

- CII Finished Dosage
- Complex technologies FD

New Technologies

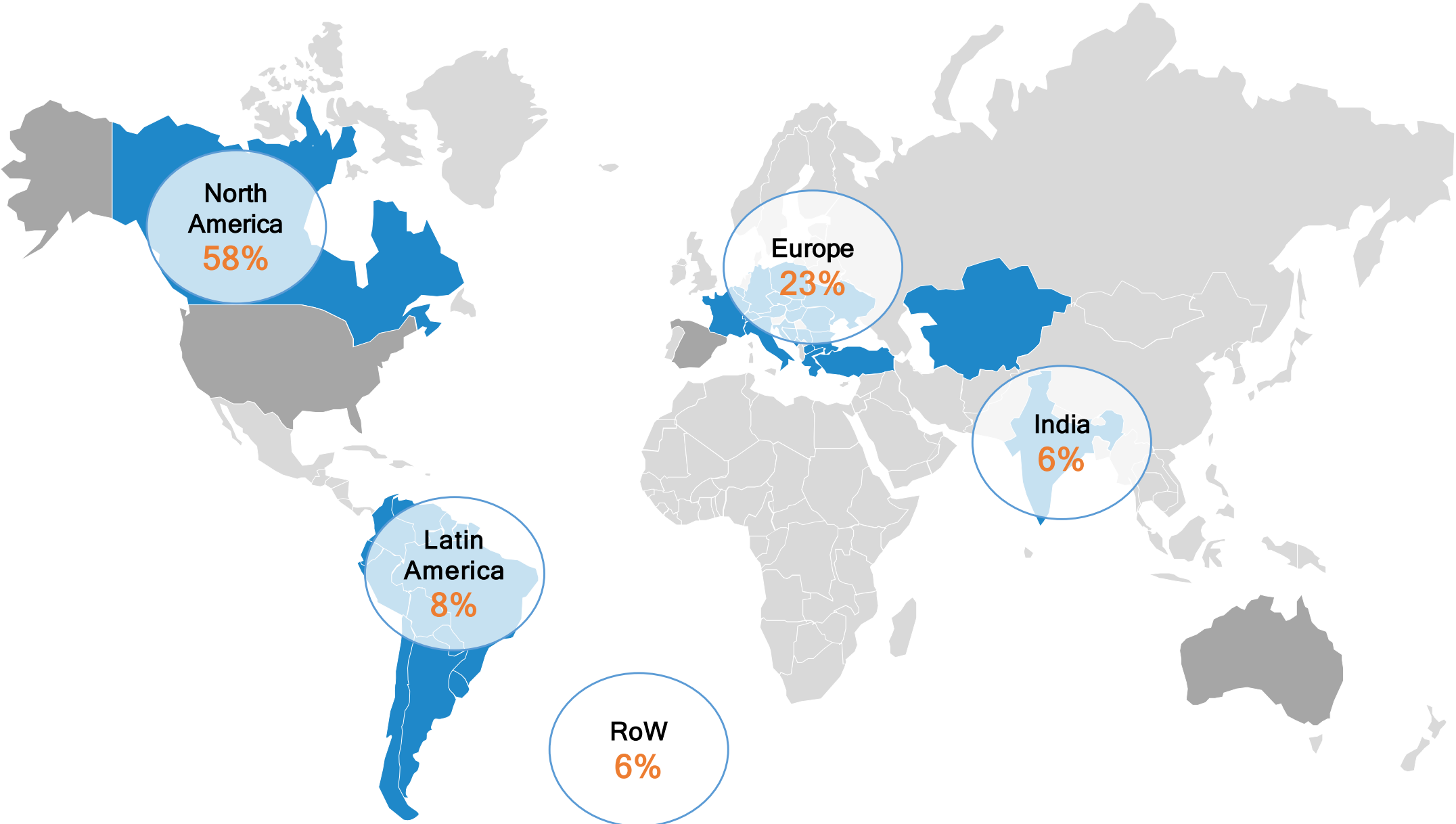
Bio Lab at Pragathi Nagar

- Enzyme & Fermentation

Pune R&D

- New technologies
- KSM & Backward Integration

Our Geographic footprint: Revenue share (FY23)



Our Leadership team: Management Committee



C Krishna Prasad

Chairman and Managing Director



Dr. K.V.S. Ram Rao

*Joint Managing Director & Chief
Executive Officer*



Uma Devi Chigurupati

Executive Director



Priyanka Chigurupati

Executive Director of GPI and GUSA



Harsha Chigurupati

Executive Director



Mukesh Surana

Chief Financial Officer



Uma Rao G

Chief Human Resources Officer



PV Srinivas

Chief Technology Officer



Anil Arora

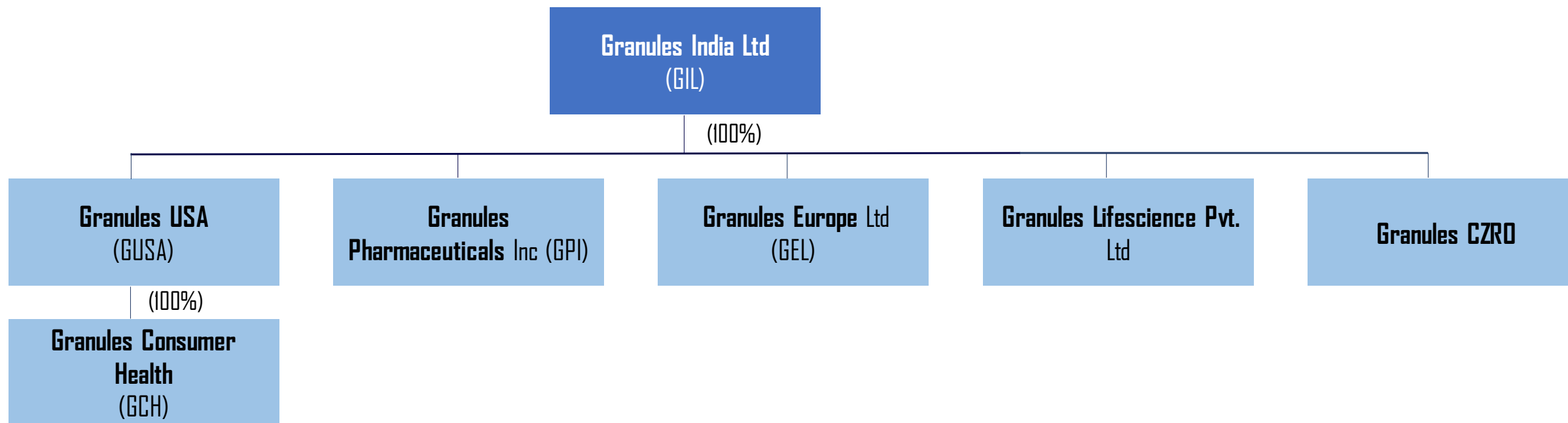
President - Formulation Operations



Sanjay Kumar

*Senior Vice President - Corporate
Strategy & Planning*

Our Business structure



- ✓ GIL: Parent company with presence across the entire pharmaceutical manufacturing value chain from API to finished dosages
- ✓ GUSA: B2B Marketing & Distribution arm for APIs, PFIs and OTC FDs from GIL in the US
- ✓ GCH: Focused on marketing private-label OTC drugs to retailers in the US. Also, built a packing facility (GPAK) for Rx, OTC and Controlled substances for internal use as well as contract packing services
- ✓ GPI: R&D, manufacturing and front-end division for marketing of Rx products including controlled substances in the US
- ✓ GEL: B2B Marketing & Distribution arm for APIs, PFIs and FDs from GIL in Europe
- ✓ GLPL: Created for commissioning new plants in India (applicable for favourable tax regime with lower income tax rate)
- ✓ GCZRO: Created to establish Integrated Green Pharmaceutical Zone in Kakinada to manufacture products with zero carbon footprint

Strategic Priorities and Organizational Transformation

Pursuing Purpose-led Growth —

As we embark on this ongoing journey, with careful deliberation, we have revitalized our purpose, vision, and values, ensuring they embody our commitment to transformation.



Dr. Krishna Prasad Chigurupati
Chairman & Managing Director

Transforming for the Greater Good : Our new Purpose, Vision & Values

PURPOSE

Healing lives responsibly through pioneering green science.

VISION

To establish ourselves as a world leader in green chemical and pharmaceutical industry by harnessing cutting-edge technologies to enhance quality of life.

VALUES

Challenging Limits

Futuristic Thinking

Customer Driven

Empowering Employees

Quality Everywhere

Environmental Stewardship



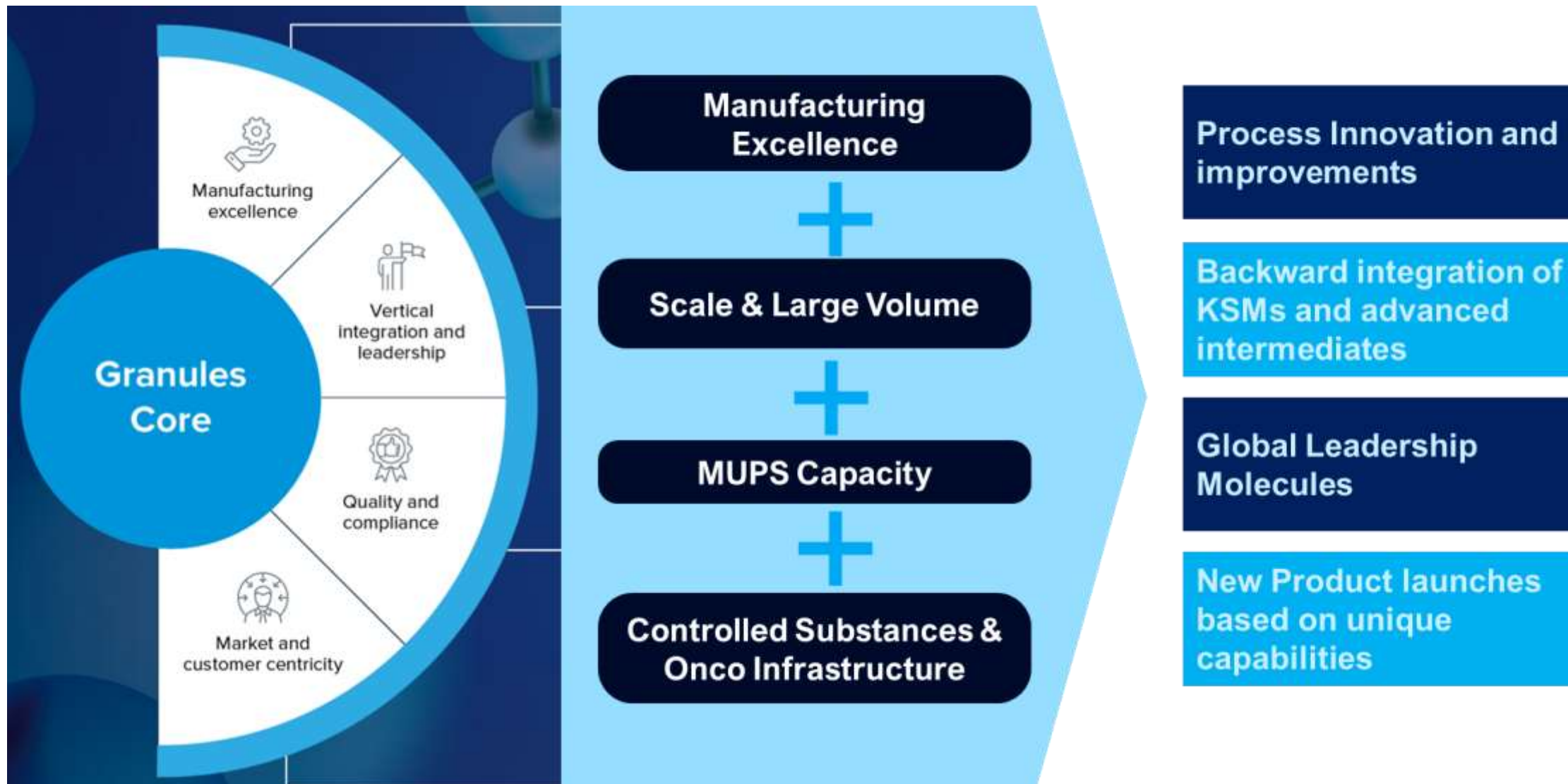
Strategic Priorities

Strengthening the core

R&D and Innovation

Sustainability

Strengthening the core: Building & sustaining our competitive advantage



R&D and Innovation: Becoming an innovation and science-led enterprise

Enzyme & Bio Transformation

Eco friendly substitute to metallo-catalysis

Mild Reaction Conditions

Greater Selectivity

Simplified Work Streams

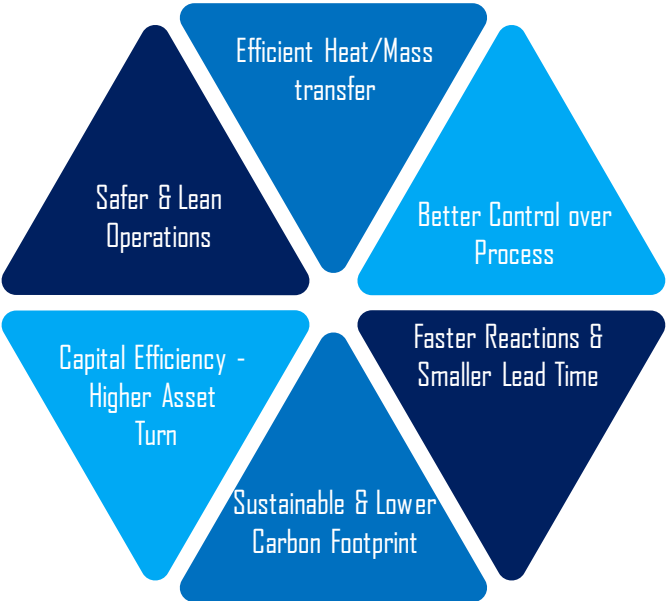
Simplified Processing & Purification

Fewer byproducts

Improved Productivity

Flow Technology Platform

Excellence in identified chemistries



Green Score in R&D Development

Implementation of Green card and Eco scale initiatives. From the early stages of development

Green Chemistry Matrix

Atom Economy

Atom efficiency

E-factor

Eco-Scale for process efficiency

6 parameters & 38 sub-parameters at every stage of the reaction

Yield

Safety

Effluent

Input/ RM Cost

Operations Parameters

Infrastructure considerations

Sustainability & Response to Climate Change

An area of emerging opportunities

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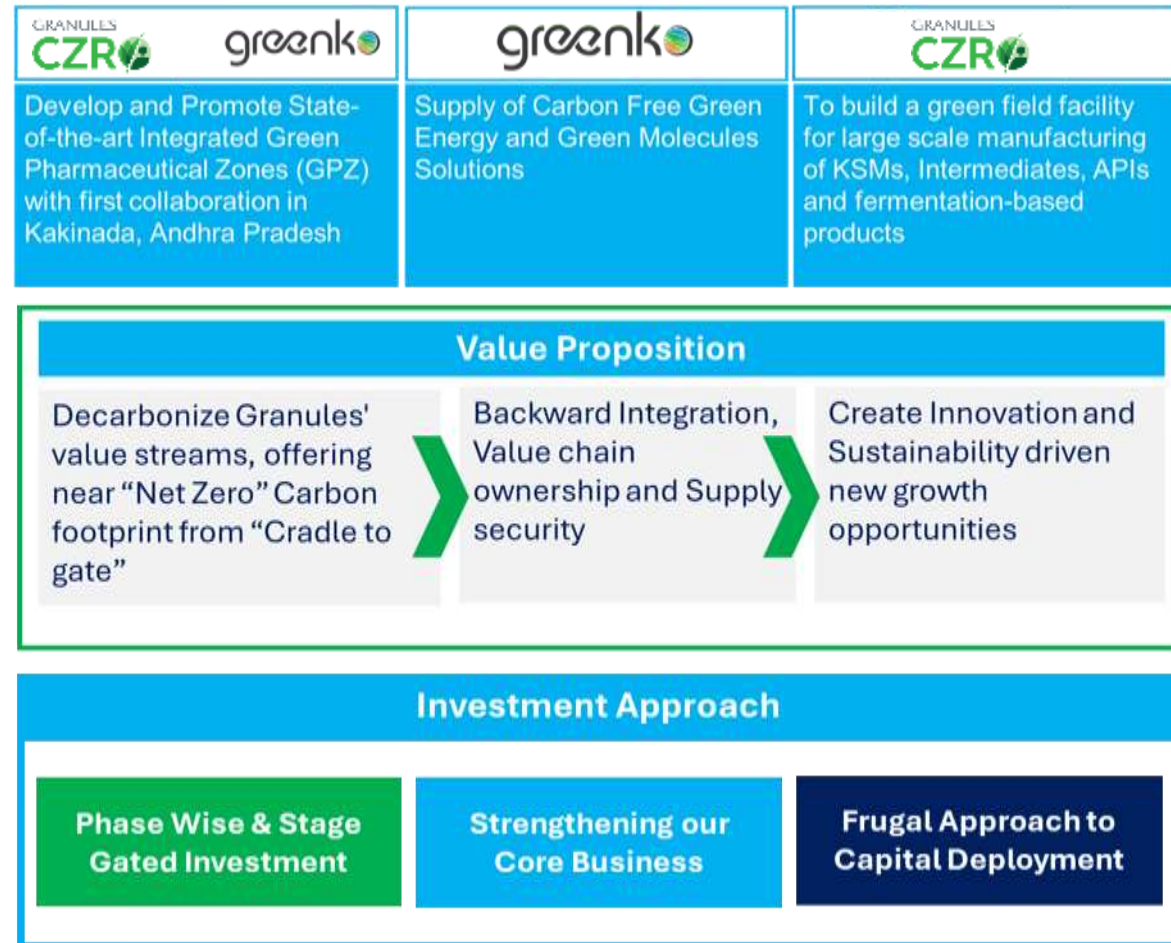
Government or private sector **commitments** to net-zero cannot be a mere public relations exercise.”

ANTÓNIO GUTERRES, *United Nations Secretary-General*, 8 November 2022

From Vision to Action

Industries need to Lead the Way in Sustainable Supply Chains and Green-Tech

Sustainability Redefined: Innovating for a Greener Future



Financial information

Financial highlights: Revenue and profitability

	FY23	FY22	Y-o-Y Gr%	(In ₹ Mn)
Revenue	45,119	37,649	20% ↑	
Value Added	22,046	18,813	17% ↑	
Value Added %	48.9%	50.0%		
EBITDA	9,138	7,222	27% ↑	
EBITDA %	20.3%	19.2%		
PAT	5,166	4,128	25% ↑	
PAT %	11.4%	11.0%		

Financial highlights: Cashflow and ratios

(In ₹ Mn)

	FY23	FY22
ROCE%	21.1%	19.3%

ROCE = Annualised EBIT / Average capital employed
Capital employed = Equity + Total Borrowings + LT liabilities - Cash

	FY23	FY22
Fixed asset turn	2.06	2.02

Fixed asset turn = Annualised Sales / Average Tangible Gross block

	FY23	FY22
Net debt/ EBITDA	0.84x	0.97x

Net debt = Gross debt – Cash and cash equivalents

	FY23	FY22
CCC	132	138

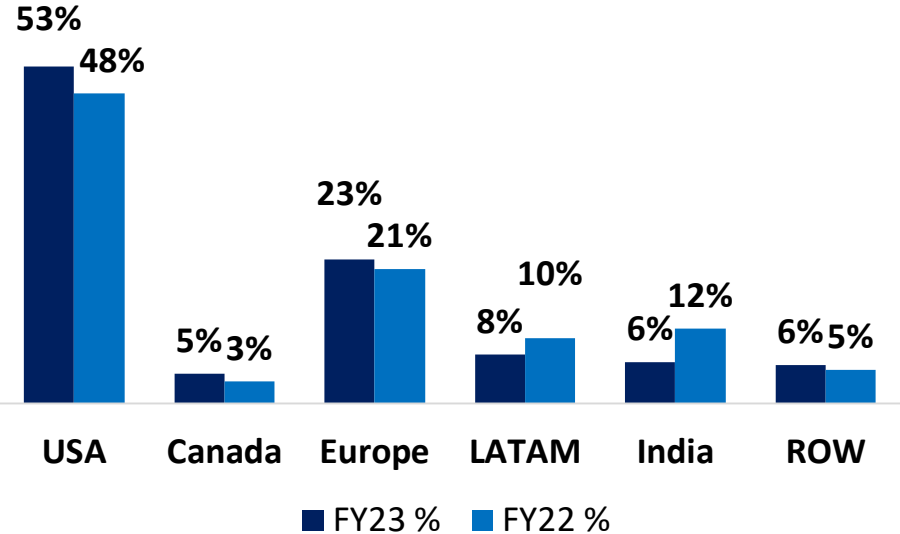
CCC = DIO + DSO - DPO
DIO and DPO are calculated using Material Cost consumed and DSO is calculated using Sales

	FY23	FY22
Operating Cashflow	7,387	3,321

	FY23	FY22
Capex	4,105	3,967

Financial highlights: Revenue split

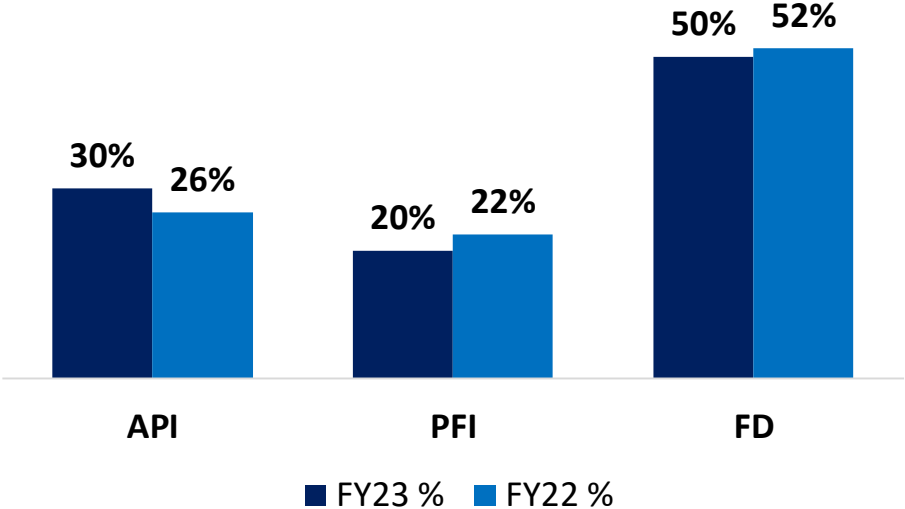
Region wise share



	FY23	FY22	Y-o-Y Gr%
USA	23,780	18,251	30%
Canada	2,099	1,290	63%
Europe	10,210	7,902	29%
LATAM	3,443	3,811	(10%)
India	2,895	4,415	(34%)
ROW	2,691	1,979	36%

Division wise share

(In ₹ Mn)

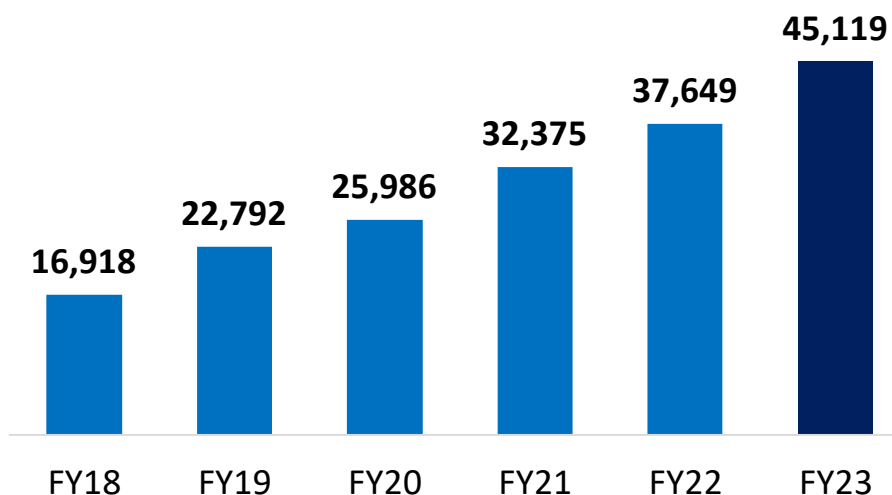


	FY23	FY22	Y-o-Y Gr%
API	13,414	9,751	38%
PFI	9,021	8,456	7%
FD	22,684	19,442	17%

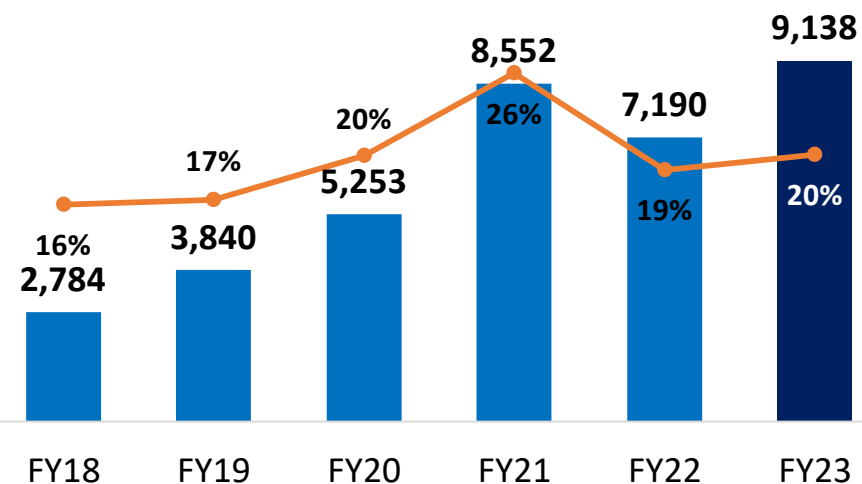
Last 5 years performance: Sales and profitability

(In ₹ Mn)

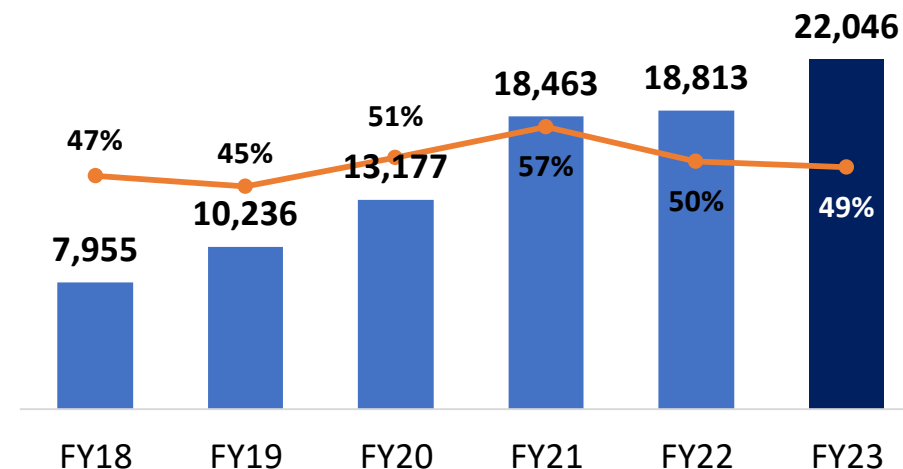
Sales: 5yr CAGR: 22%



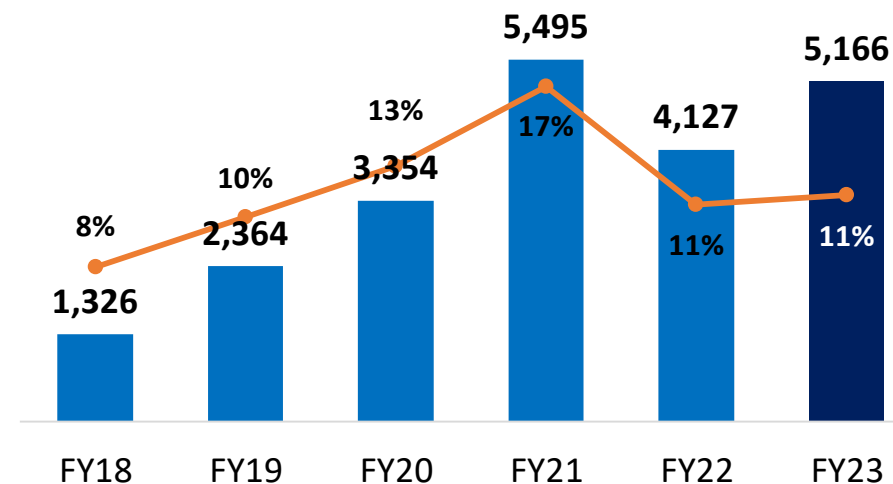
EBITDA and EBITDA%: 5yr CAGR: 27%



VA and VA%: 5yr CAGR: 23%



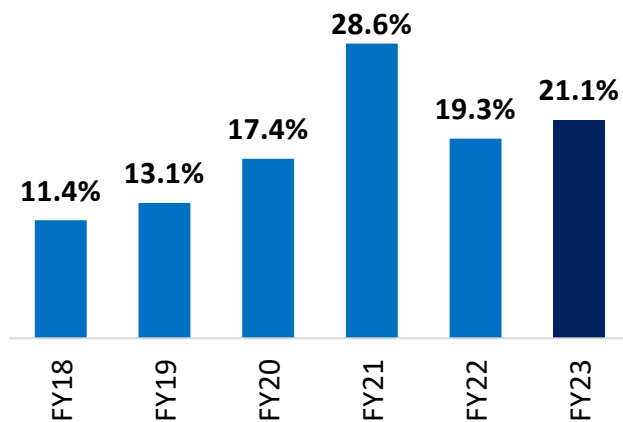
PAT and PAT%: 5yr CAGR: 31%



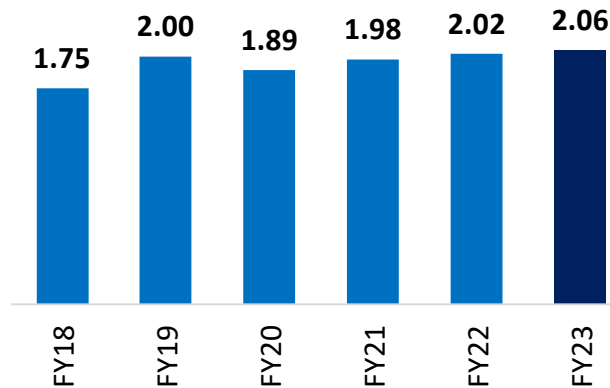
Last 5 years performance: Cashflow and ratios

(In ₹ Mn)

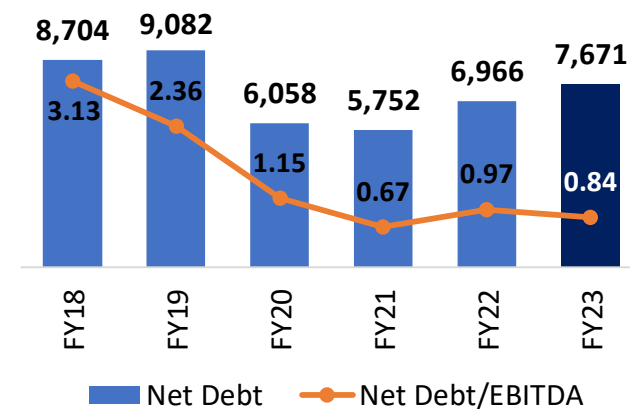
ROCE%



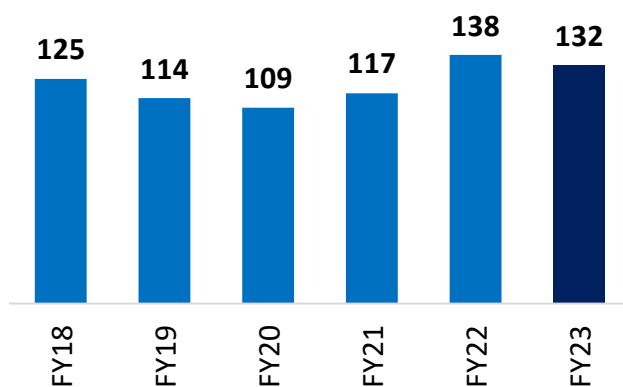
Asset turns



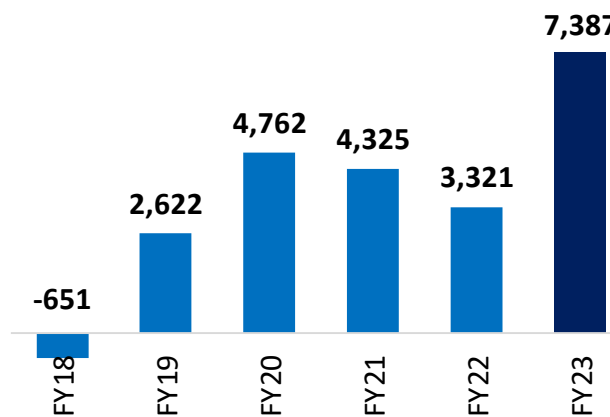
Net debt and Net debt/EBITDA



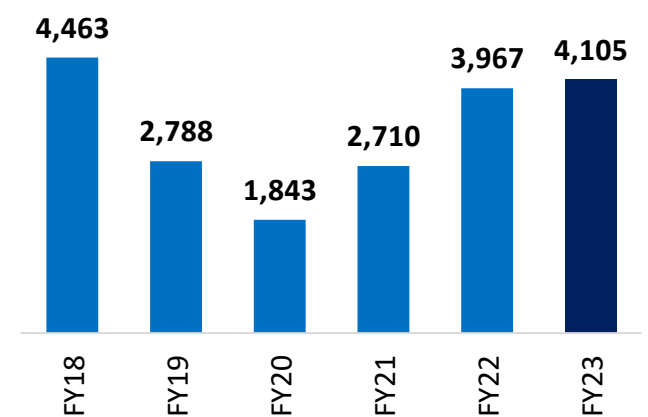
Cash to Cash cycle



Operating Cash flow



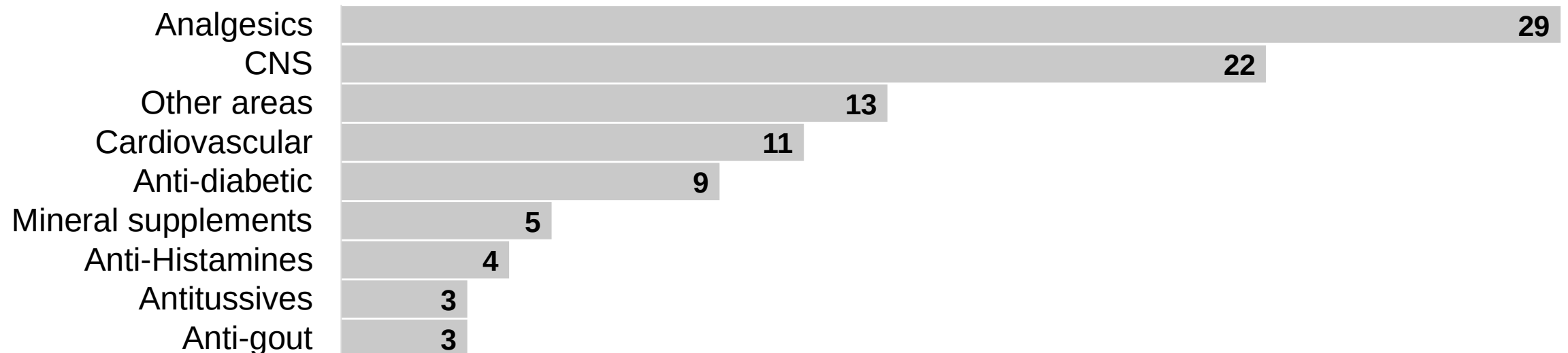
Capex



ANDA and Dossier Filing status

Filing Status	GPI IP	GIL IP						Total
	USA	USA	Europe	Canada	South Africa	UK	Others	
Approved	24	57	5	6	-	3	1	72
Tentatively Approved	1	2	-	-	-	-	-	2
To be approved	5	12	3	1	6	-	3	25
Total Products	30	71	8	7	6	3	4	99

ANDA/Dossier filed - Therapeutic area wise





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